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Sandisk Corp (SNDK.O)

Management Callback Takeaways

CITI'S TAKE

We spoke to management post-earnings and recap key takeaways below.

Management positioned the recent agreements signed (three signed New Business Model agreements in 3Q, two more in 4Q) as the mechanism to lock in better economics and reduce volatility to drive sustainable growth in its business. Management addressed the following as rationale for these agreements:

- Drive fair value economics: Ensure its products are priced at fair value, and indicated the company will continue pushing for stronger economics even if that implies margins above ~80% in certain structures.
- Reduce/eliminate cyclical: Making performance more predictable by using a portfolio of agreements with staggered expirations and downside protection (guaranteed payments/penalties) that backstop economics and demand.
- Drive towards an end-state of a financially attractive P&L with high-margin products and predictable QoQ revenue streams that then grow over time.

The NBM agreements vary by customer and can span bits/raw NAND and/or finished goods, with the product, mix, and volume cadence defined inside the contract. **The financial targets of these NBMs are consistent with the company's 4Q guidance.** Deals signed to date are broad-based across segments and counterparties, with data center having larger volume profiles and remaining the most strategic end market over time given its profitability potential.

The \$42bln RPO is the contractual revenue (accounts for the first 3 deals in 3Q) utilizing minimum pricing assumptions embedded in the agreements, while the \$11bln (accounts for all 5 deals) financial guarantees represent a separate incentive that provides a financial reason for customers to stay in the contract, helping to reduce downcycle/volatility. These contracts are also signed at different times to prevent them all expiring at once.

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons
2025A	1.81A	0.99A	-0.30A	0.29A	2.79A	2.99A
2026E	1.21A	6.20A	23.41A	32.54E	64.29E	45.50E
Previous	1.21A	6.20A	23.41A	32.54E	64.29E	na
2027E	43.66E	55.01E	41.42E	42.16E	182.26E	117.81E
Previous	43.66E	55.01E	41.42E	42.16E	182.26E	na
2028E	40.55E	40.84E	35.78E	37.97E	155.13E	119.01E
Previous	40.55E	40.84E	35.78E	37.97E	155.13E	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus.

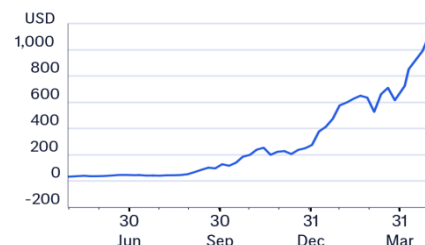
Buy

Short-Term View: Upside, expires 17-JUN-26

Price (30 Apr 26 16:00)	US\$1,096.51
Target price	US\$1,300.00
Expected share price return	18.6%
Expected dividend yield	0.0%
Expected total return	18.6%
Market Cap	US\$161,846M

Price Performance

(RIC: SNDK.O, BB: SNDK US)



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These contracts were described as operating with a mix of fixed and variable components, but structured such that the company can still model and understand a clear minimum through contract end. If a customer doesn't perform, financial guarantees flow to the company, and the design can also allow customers to participate if pricing moves down (win-win), with overall economics aligned with what was forecast for FQ4'26.

Management emphasized that the agreements' quarter-by-quarter and month-by-month fluctuations across products and demand make it difficult to reverse-engineer the contracts into a simple external forecast, even though the company has internal visibility through the life of each deal.

Customer incentives are structurally different under the new framework because the end customers (OEM/cloud) have highly profitable device economics and customers are economically motivated to stay engaged in longer-term agreements rather than treat NAND as an input.

This portfolio approach to contracting where these agreements can vary up to 5 years is intended to reduce the risk of all these deals falling off at once, noting agreements will end at different times, which should provide lead time to adjust, renegotiate, extend, or refresh deals if the environment changes.

Stronger-than-expected demand does not change the technology roadmap or operating plan, emphasizing the plan was set well in advance with investments already committed and execution still anchored to mid- to high-teens bit growth.

Gross margin was mainly abetted by mix and cost variability, as they continue to shift to DC given its size and longer-term profitability potential.

On capex and the K2 fab in Japan, the company is investing in K2 as planned, with spending transitioning out of startup-related expense and into the incremental tooling, process steps, and space required to support the BiCS8 transition.

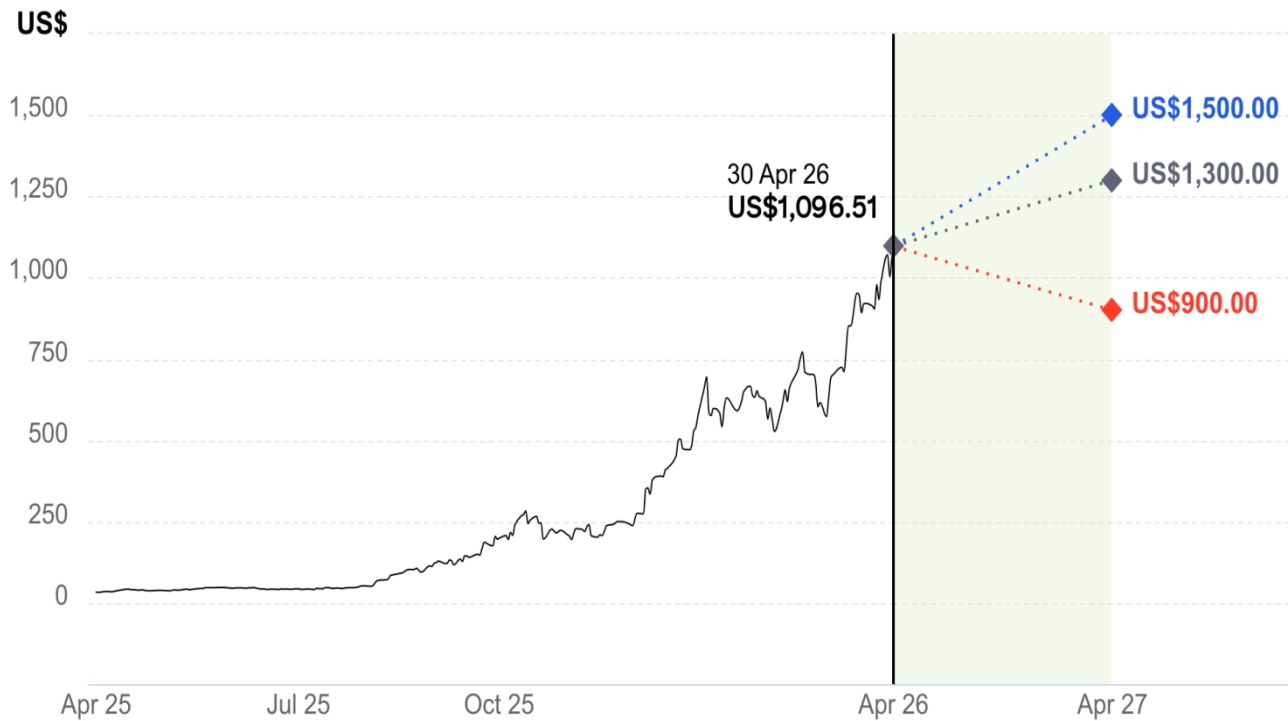
Management reiterated confidence in generating substantial cash going forward and wants to get the \$6bln repurchase program underway under the board-approved open-ended, while continuing to invest in strengthening the business/supply chain and noting debt elimination is already complete.

Bull/Bear: Sandisk Corp (SNDK.O)

US\$1,500.00
▲ 37% Upside

US\$1,300.00
▲ 19% Upside

US\$900.00
▼ 18% Downside



Spread 55pp
Current Price and expected returns (upside/downside) as of 30 Apr 2026



BULL Assumptions

- Bull case assumes higher EB growth and improved EB pricing environment.



BASE Assumptions

- Base case as presented in current financial model.



BEAR Assumptions

- Bear case assumes lower EB growth and degraded EB pricing environment.

Sandisk Corp

Company description

Sandisk is a global data storage supplier of NAND flash solutions, including SSDs, memory cards, USB sticks, portable drives, and automotive. For Client customers, the company offers SSDs for the PC, mobile, gaming, automotive, VR, at-home entertainment, and industrial spaces. The company is primarily focused on increasing its share in Enterprise, targeting the Cloud and Data Center segment. The company also leverages its strong brand name to the Consumer end-market for retail and other end-user products, including memory cards, USB sticks, and portable drives. Sandisk was founded in 1988, was then owned by Western Digital from 2016 until its spinout in Feb 2025, and is headquartered in Milpitas, CA. Sandisk's long-standing flash production JV with Kioxia began in 2000 and is signed through 2034. The partnership provides for a steady supply of NAND flash, with each company a co-owner of the production facilities with an ownership split of 51% (Kioxia)/49% (SNDK).

Investment strategy

We rate Sandisk shares Buy as the company focuses on gaining share in the growing Enterprise SSD segment amidst a highly favorable S/D environment expected to persist through CY27, with limited cleanroom capacity situation supportive of pricing, plus durable underlying datacenter demand, coupled with its Bics8 qualifications serving as a competitive moat, and with ongoing mix to datacenter further benefiting margins longer-term. However, we remain prudently cautious on the potential for elevated price competition between key players during the process, particularly from Chinese players who remain aggressive on gaining share, and where currently underutilized industry capacity can very quickly reverse to oversupply within a small window, making the ideal conditions of price increases short-lived.

Valuation

Sandisk's peer set historically trades at (FactSet) median 3-4x EV/sales, and 9-10x P/E. Our target price for SNDK is \$1300, where we value shares at 7-8x CY27 EPS, vs its closest competitor, Kioxia with median of 7x, as well as the larger peer group at 6-7x P/E. We note most peers have DRAM exposure while SNDK does not. That said, we note Sandisk additionally has an estimated \$15-20B in invested capital (replacement cost) within the JV that is not reflected in the company's financials.

Risks

Downside risks that could impede SNDK share price from reaching our target price include: 1) Sandisk's efforts to increase its share in the Enterprise taking longer than expected; 2) macro environment deteriorating and impacting datacenter spend, PC refresh, or AI-PC uptake; and 3) supply-demand imbalances or pricing competition causing volatile pricing fluctuations and significantly impacting margins.

When considering Citi's Quantative Risk Rating criteria, we do not rate SNDK

shares as High Risk given Sandisk was already previously a publicly traded company and was simply spun out of Western Digital rather than as a new IPO. And though it operates in a cyclical industry, Sandisk continues to be a successful, going concern with a reputable brand, IP assets, and an established JV.

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Appendix A-1

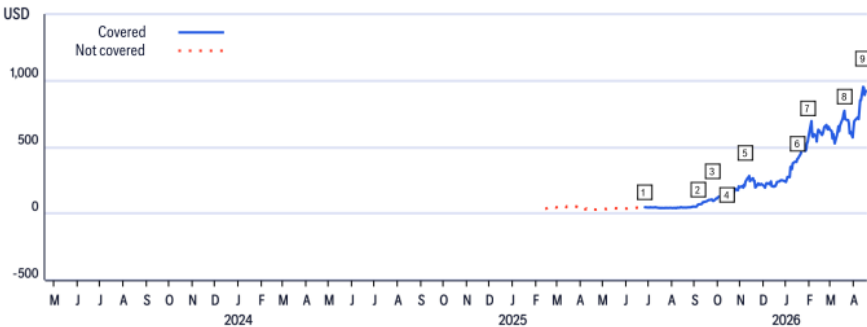
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Sandisk Corp (SNDK)
Ratings and Target Price History
Fundamental Research

Analyst: Asiya Merchant, CFA



Date	Rating	Target Price	Closing Price
1 26-Jun-25 04:00:00	*1	*\$7.00	47.44
2 07-Sep-25 21:24:48	1	*\$0.00	68.55
3 24-Sep-25 04:00:00	1	*\$125.00	99.83

Date	Rating	Target Price	Closing Price
4 13-Oct-25 00:10:56	1	*\$150.00	134.61
5 07-Nov-25 00:50:25	1	*\$280.00	239.48
6 19-Jan-26 19:00:00	1	*\$490.00	413.62

Date	Rating	Target Price	Closing Price
7 30-Jan-26 06:41:51	1	*\$750.00	576.25
8 19-Mar-26 06:19:51	1	*\$875.00	772.09
9 13-Apr-26 03:59:36	1	*\$980.00	952.50

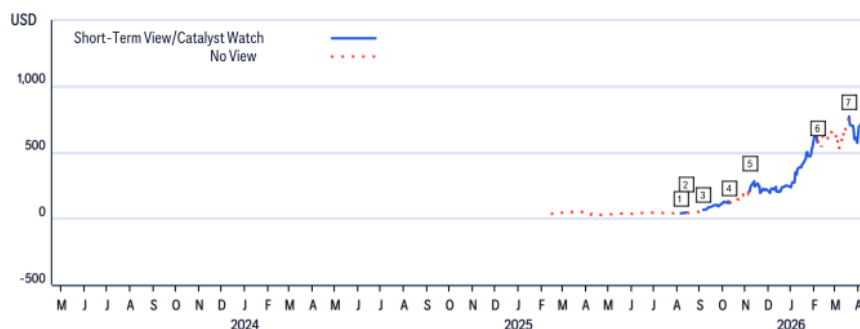
*Indicates Change

Rating/target price changes above reflect Eastern Time

Sandisk Corp (SNDK)

Short-Term View/Catalyst Watch Research

Analyst: Asiya Merchant, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	06-Aug-25 13:53:54	Add STV	Upside	90 Days	42.10
2	14-Aug-25 22:45:08	Remove STV	Upside	90 Days	46.68
3	07-Sep-25 17:24:48	Add STV	Upside	90 Days	68.55
4	12-Oct-25 20:10:56	Remove STV	Upside	90 Days	116.91
5	06-Nov-25 19:50:25	Add STV	Upside	90 Days	207.69
6	05-Feb-26 11:27:43	Remove STV	Upside	90 Days	576.20
7	19-Mar-26 02:19:51	Add STV	Upside	90 Days	772.09

CW - Catalyst Watch, STV - Short-Term View

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